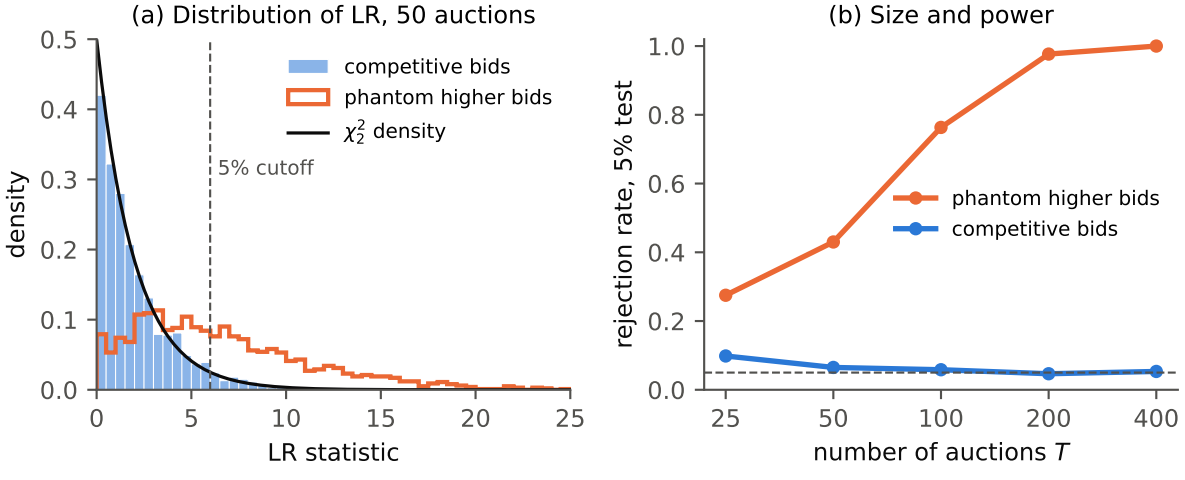
(a) Distribution of LR, 50 auctions
density
LR statistic
competitive bids
phantom higher bids
χ^2_2 density
5% cutoff
0.0
0.1
0.2
0.3
0.4
0.5
0
5
10
15
20
25
(b) Size and power
rejection rate, 5% test
number of auctions T
phantom higher bids
competitive bids
0.0
0.2
0.4
0.6
0.8
1.0
25
50
100
200
400